

or default on their balances. But the truth is that they make most of their money off people who can't pay off their balances. It's that simple. The card companies have found their infinite supply of cash flow—generation after generation of overspenders. Think about the credit card company that occupies a world where its average return is 16 percent. Now *there's* a business that makes good money! Imagine if your investments paid you 16 percent, week after week, month after month, in perpetuity. How far would you go to protect that return? Pretty darn far, I bet. That's why credit is so easy to come by. These companies throw out a global net to see which suckers they can snag into that morass of debt. And many of you get caught willingly. But here's the problem: Once that 16 percent compounds, you're in trouble, because you can never, ever earn a 16 percent return consistently and fast enough on anything to offset the insidious growth of that kind of debt. You can't dig yourself out of that kind of hole. Nobody can.

Here's the kicker: There's nothing illegal about the credit industry. And it's so powerful that when any righteous politician introduces legislation to outlaw criminally exorbitant interest rates, and this happens at every election, the idea usually dies quickly and quietly in a series of discreet meetings where well-dressed lobbyists never have to speak louder than a whisper. Banks are the smartest corporate entities on the planet. That's why I invest in them.

The real tragedy, if not the real crime, of personal overspending is that any bartender is legally bound to cut off a dangerously drunk person. But you won't see that happening in a store. No cashiers at Neiman Marcus or Saks are going to place their hand over your credit card and suggest you don't really need three pairs of skinny jeans, that one pair will suffice. Nope. They'll congratulate you on your "finds" and reinforce the fact that you "deserve to splurge."